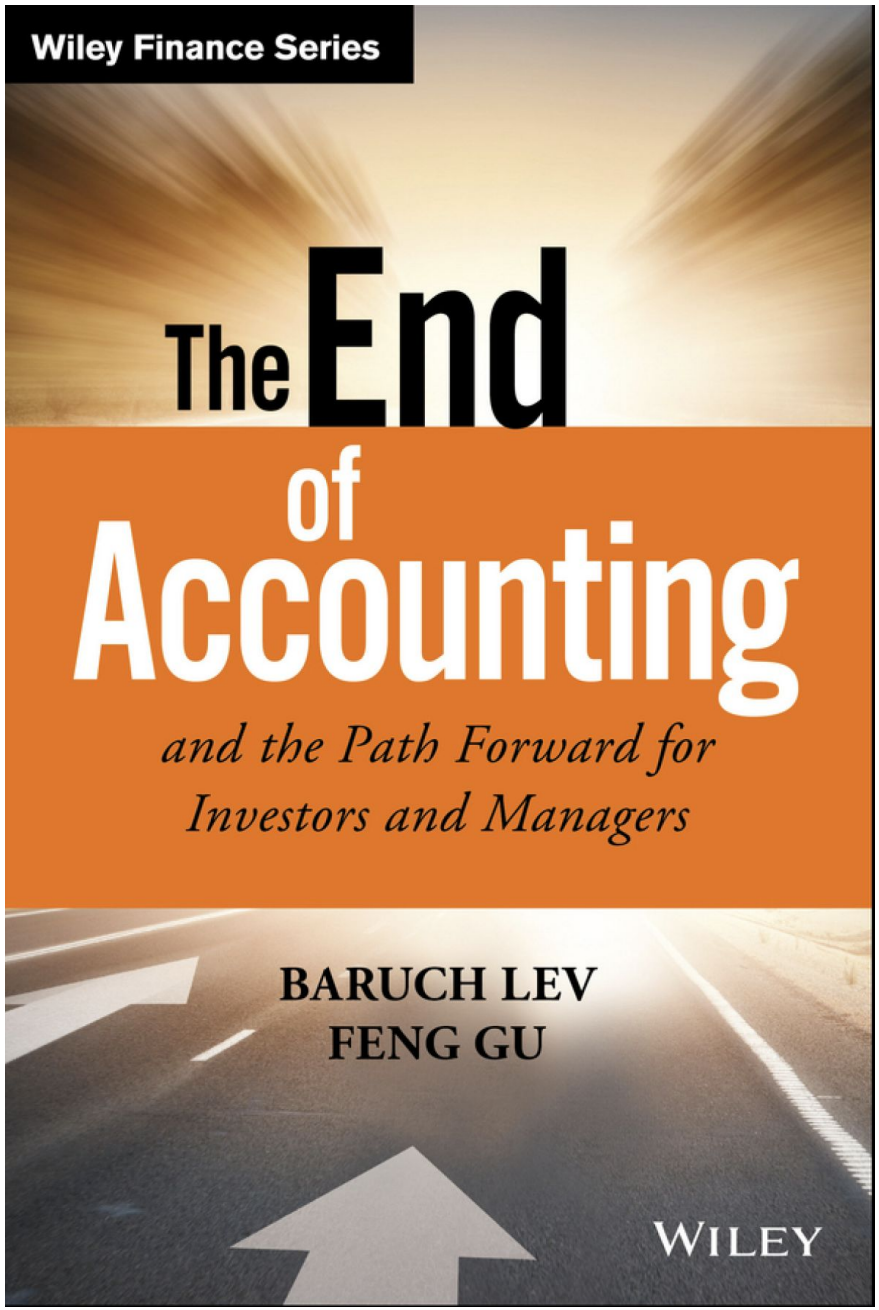


Fundamentals of Finance - 1

Narahari Hansoge

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ABOUT ME

- Chartered Accountant (2003; PwC articleship)
- IIMA MBA (2006)
- Investment Banking (2006-07; Merrill Lynch, Mumbai)
- IIMB PhD (2008-13)
- IIM Trichy Faculty member (2014-20)
- Adjunct Faculty at IIM Bangalore
- “You are a weird prof. Can’t believe a person can be both so kind and so mean”

PRELIMINARIES

- Review of Course Outline (Textbook)
- You'll get more from the course if you study the assigned material before each class
- Need a course rep (CR)
- Deadlines are non-negotiable
- Group formation (5/6 members)
- You can ask me any question any time in class; But let me decide when/how to handle it
  - "Let's take it offline"
- Google Form for Questions/Feedback (Real time)
  - Enter subject as "FOF1-2026"

PRELIMINARIES

- I really don't care what grade you get (as long as you pass the course)
- I value curiosity and a willingness to learn; not your ability to get a good grade
- Grades are important but secondary to C&WL
- You are all adults who are aware of the consequences of your choices – Will not treat you like school kids
- I will give you all help and guidance if you want to learn. But learning is your responsibility; not mine.
- Who has learnt Accounting before?

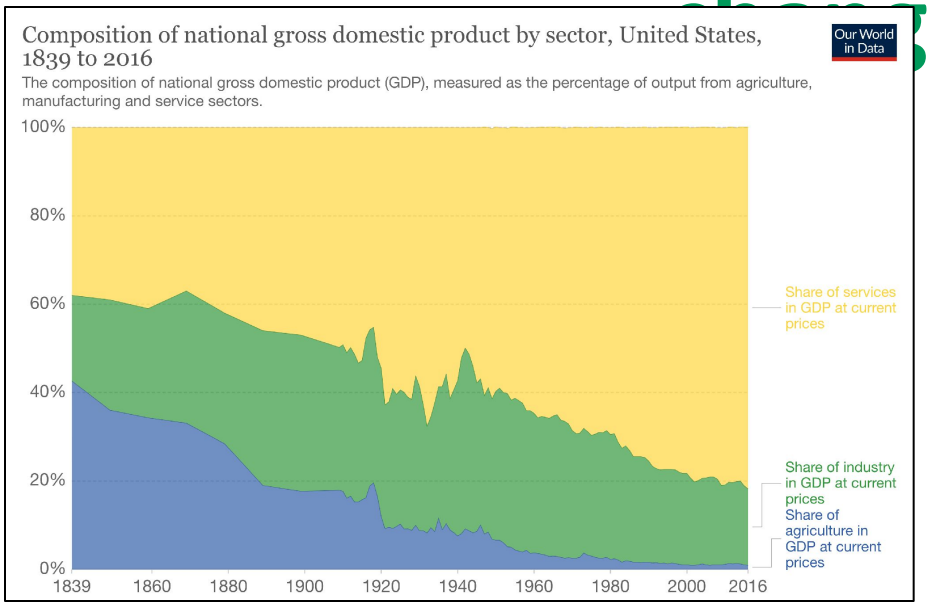
Accounting as a language

- **You should know how to read a language if you want to understand anything written in that language**
- Accounting is the language of business and finance
- Difference between Accounting and Finance?
  - Accounting records, summarises and reports business transactions (information gathering & processing system)
  - Finance deals with managing resources and decision making
  - Accounting reports are an important input for financial decision making

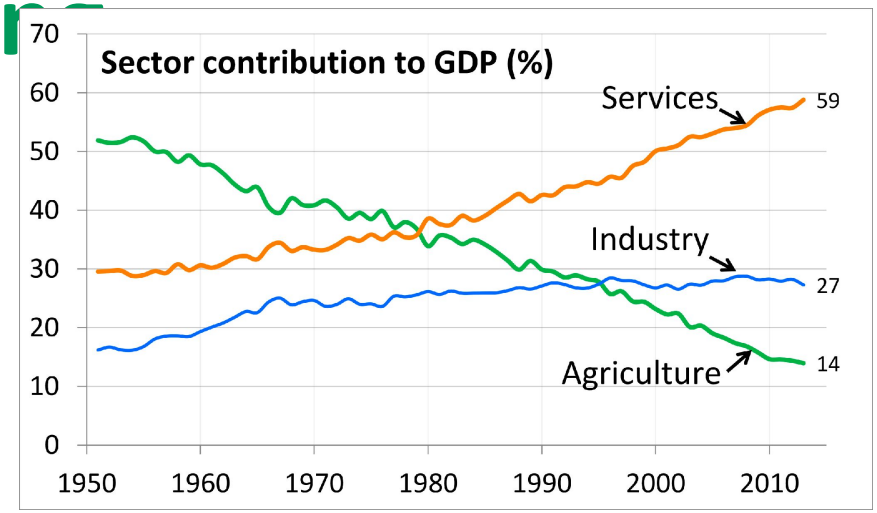
ACCOUNTING FRAMEWORKS/SYSTEMS

- Set of standards and rules to be followed when preparing Financial Statements
- IFRS (International Financial Reporting Standards)
  - Globally accepted; Used in ~150 countries
- US GAAP (Generally Accepted Accounting Principles)
  - Was the international standard. Now largely restricted to US and US companies
- Indian GAAP
  - Used earlier in India
- Indian Accounting Standards (Ind AS)
  - Used in India now. Converged with IFRS
  - Listed and large companies : From 1-Apr-2016 (roadmap)
- US GAAP largely rule based; IFRS principles based
- Accounting Principles, Standards and Policy

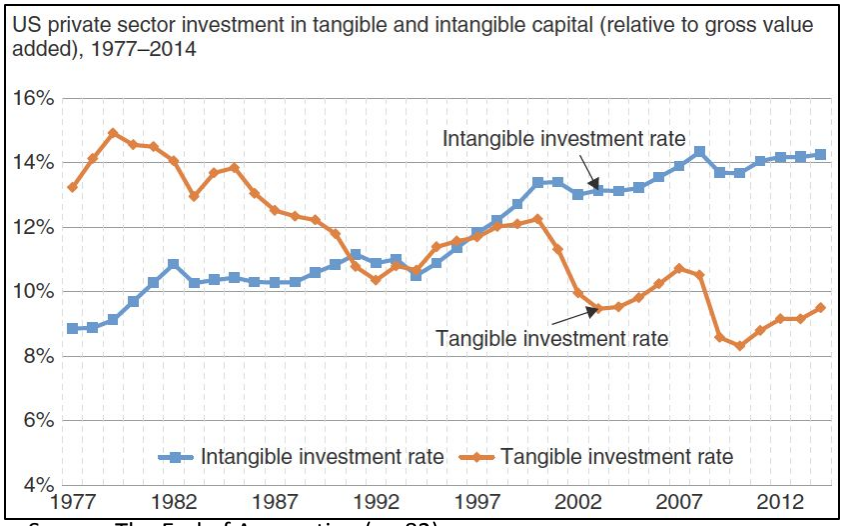
Businesses/Economies are changing



Source: https://ourworldindata.org/economic-growth



Source: https://en.wikipedia.org/wiki/Economy_of_India



Source: The End of Accounting (pg 82)

- While Accounting has evolved, it hasn't kept pace!
- But Accounting is indispensable
- Need to learn Accounting properly to recognize when it makes sense and when it doesn't
- Non-GAAP numbers/reporting
- "Substance over Form"

Does this guy know to drive a car?



Source: https://en.wikipedia.org/wiki/Lewis_Hamilton

- Course focus will be on concepts/ principles/ interpretation
- Not on mechanics/rules
- Manager's perspective; Not an Accountant's
- Nothing wrong with Accountants!
- Accountants (myself included) are actually sane and nice people (but we may appear and behave otherwise sometimes) ☺
- Objective of the course is to read, understand and interpret Financial Statements for making business decisions; not to become GAAP experts

ACCOUNTING PRINCIPLES / CONCEPTS

- Economic Entity Assumption
- Going Concern Assumption
- Periodicity Assumption
- Monetary Unit Assumption
- Historical Cost Principle (measurement basis)
- Fair Value Principle (measurement basis)
- Full Disclosure Principle (Materiality)
- Conservatism or Prudence Principle
- Accrual Basis
- Realisation Principle
- Matching Principle

BASIC ACCOUNTING TERMS

- **Assets, Liabilities, Equity, Income, Expense**
- **Assets** are items “owned” by the entity; a resource that gives future benefits to its owner
- **Liabilities** are items “owed” by the entity; an obligation that needs to be settled by giving up assets
- **Equity** is net assets (residual). Can be positive or negative
- **Income** is value generated by selling/providing goods/services or from investments
- **Expense** is the cost of generating income

FINANCIAL STATEMENTS

- Balance Sheet
  - Statement of Financial Position
- Statement of Profit and Loss
  - Income Statement, P&L a/c
- Statement of Cash Flows
- Statement of Changes in Equity

BALANCE SHEET (BS)

- Prepared “as on” a particular date
- Shows the financial status of an entity
- Shows Assets, Liabilities and Equity
- Basic Accounting Equation: A = L + E

STATEMENT OF PROFIT AND LOSS (SPL)

- Prepared “for” a period
- Shows the performance of the entity during that period
- Shows details of Incomes and Expenses
- If Incomes > Expenses, result is Net Profit. If Incomes < Expenses, Net Loss
- BS and SPL are the “core” Financial Statements

STATEMENT OF CASH FLOWS (SCF)

- Prepared “for” a period
- Shows cash inflows and outflows across 3 sections
- CFs from Operating activities
- CFs from Investing activities
- CFs from Financing activities
- Details derived from BS and SPL

STATEMENT OF CHANGES IN EQUITY (SCE)

- Prepared “for” a period
- Gives more details about Equity (SCE is a subset of BS)
- Equity is the money that belongs to the owners
  - Capital invested by owners plus company profits minus dividends (distributed profits)
- Equity is shown as a liability as the entity has to pay back the owners on liquidation
- Equity is an “internal” liability

BS and SPL

- BS: Assets, Liabilities & Equity are **Permanent** (balance carried fwd year on year)
- SPL: Incomes and Expenses are **Temporary** (i.e. used only for that year)



- BS: Balance Sheet
- SPL: Statement of Profit and Loss

Appendix 1A: Mini Case: Pet Shop Ltd.

Pet Shop Ltd., a merchandiser, started its business on January 1, 2022. Subsequently, it had the following transactions in the month of January 2022. Explain the effect of these transactions on assets, liabilities, and equity using the Accounting Equation. After that, prepare a table showing the impact of each transaction on cash, other assets (mention the name of the asset), liabilities (mention the name of the liability), equity share capital, and income & expense (mention the name of the income or expense). Based on this table, prepare a simple income statement, balance sheet, and cash flow statement.

1. On 01-01-2022, Issued equity shares and received ₹10 lakh.
2. On 02-01-2022, Rented a store for a monthly rent of ₹50,000. Gave a security deposit of ₹75,000, which is refundable when the one-year rental agreement expires. Rent will be paid in arrears at the beginning of next month.
3. On 03-01-2022, Borrowed from the bank ₹9 lakh. Interest is payable @ 1% per month on March 31.
4. On 04-01-2022, Bought store equipment for ₹5 lakh. It will be used for five years and then sold for ₹20,000.
5. On 05-01-2022, Bought a store management software license for ₹252,000. It will be used for three years, and after that, it will be of no use.
6. On 06-01-2022, Purchased stock-in-trade ₹200,000 cash and 300,000 payable next month.
7. On 06-01-2022, Paid freight outward ₹10,000 to send goods to a customer.
8. On 07-01-2022, Sold goods (costing ₹400,000) for ₹800,000. ₹300,000 is cash sales. The remainder will be collected next month.
9. On 15-01-2022, Paid ₹1,92,000 premium for a 24-month fire insurance policy starting 16-01-2022.
10. On 16-01-2022, Purchased supplies by paying cash for ₹5,000.
11. On 27-1-2022, Received bills for utility expenses of ₹15,000 payable next month.
12. On 30-01-2022, Received ₹20,000 as an advance from a customer, Jayant, for the supply of goods next month.
13. On 31-01-2022, Paid staff salaries for the month ₹65,000.
14. On 31-01-2022, Earned Interest income on Bank Balance ₹1,000, which is receivable on 31-03-2022.
15. On 31-01-2022, the monthly rent of ₹50,000 is due.
16. On 31-01-2022, the monthly depreciation for store equipment is ₹8,000.
17. On 31-01-2022, the monthly amortization for software is ₹7,000.
18. On 31-01-2022, the Cost of supplies consumed is ₹3,000.
19. On 31-01-2022, the monthly Interest Expense accrued is ₹9,000.
20. On 31-01-2022, the Insurance expense for the half month is ₹4,000.
21. Income Tax payable @ 25%
22. Paid Equity Dividend of Rs.50,000

February

23. Sold Rs.5k goods @40% gross margin to Jayant
24. Collected money from customer for sale made on Jan 7th and provided a 1% discount (Discuss: Discounts reduce topline)
25. Paid utility bill